

deadlock continuing, several states have amended their own laws to take forward some of these provisions to attract investments.

THE WAY FORWARD

Beyond this ongoing stalemate, it would be important to see how India moves forward with its labour reform agenda in the coming decades. The country will have to ensure it does not lose out on harnessing its demographic dividend while ensuring well-paying jobs with a “living wage” and adequate social security amid an aging workforce.

The India Employment Report 2024, published by the International Labour Organization, had pointed out that a large proportion of the population is of working age, and India is expected to be in the potential demographic dividend zone for at least another decade. “But the country is at an inflection point because the youth population, at 27% of the total in 2021, is expected to decline to 23% by 2036,” the report had highlighted.

The report also listed problems that need to be addressed urgently. These include unemployment and underemployment, low female participation, stagnant or declining wages, and earnings, rising migration rate, and slow transition to non-farm employment.

Sharma, one of the authors of the report, highlights that the government needs to work on ensuring social security for migrant workers as migration has become a big trend.

Santosh Mehrotra, labour economist and former professor of economics at JNU, says there

LABOUR MARKET DYNAMICS



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India has one of the world's largest labour forces, but jobs and wages are challenges

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Attempts to cut down red tape and incentivise the private sector to invest and create jobs are under way

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Long-pending Labour Codes continue to face opposition, but states are easing compliance

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Informal sector jobs need policy focus for employment benefits and social security

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As India's population peaks, more reforms are essential to reap the demographic dividend

must be more focus on the informal sector. “The biggest challenge with the Labour Codes is that they largely do not apply to the unorganised sector, which accounts for nearly 90% of India's labour force. Only the Code on Wages and parts of the Code on Social Security extend to informal workers,” he points out.

Universal social security, which would serve workers not only during retrenchment, but also once they retire, is a key agenda of the labour and employment ministry. However, its financing and implementation will be the key.

Attempts are also being made to come up with a Labour Market Information System to match workers with jobs across the country, helping employers as well as workers. More frequent monthly data through the Periodic Labour Force Survey—conducted by the National Statistical Office to collect data on key employment and unemployment indicators—is also helping policymakers understand market dynamics and tweak policies.

To incentivise employers and bring more workers into the formal sector, the government has also rolled out schemes like the Employment Linked Incentive Scheme and the Prime Minister Internship Scheme, the impact of which is yet to be assessed. Surely, youth employment and employability will have to remain a focus and priority of the government in years to come.

To be a superpower, India needs to find a balance between bold reforms and workers' security. **BT**

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